

Executive Summary

Revisiting Industrial Policy: Strategic Options for Today

Latin America and the Caribbean (LAC) enters 2026 with growth still constrained by long-standing structural challenges. Regional GDP growth is projected to reach 2.1 percent in 2026—slightly below the 2.4 percent recorded in 2025—leaving LAC once again one of the slowest-growing regions in the world, with GDP per capita barely growing. The lack of improvement comes with downward revisions in some country projections and reflects a familiar mix of demand: private consumption remains the main driver, while investment stays subdued amid elevated global and domestic uncertainty and still-restrictive real (inflation-adjusted) financing conditions. Progress against inflation continues, albeit more slowly than expected.

The changing global environment presents new risks and opportunities. Though uncertainty surrounds the rules of the international trade order, tariffs on the region have risen less than expected, the potential remains for alignment with hemispheric production hubs, and the energy transition amplifies the region's potential role in clean-technology value chains, given LAC's comparatively clean power mix and deep endowments of critical minerals. Realizing these upside opportunities requires complementary domestic reforms that reduce policy uncertainty, close gaps in infrastructure and human capital, and strengthen institutions so that private capital can respond when global uncertainty recedes. These upside prospects coexist with downside risks, notably from renewed conflict in the Middle East, where energy-price volatility could delay disinflation and weigh on growth.

Chapter 1 reviews the region's recent macroeconomic and social evolution and the near-term challenges it faces as inflation approaches its "last mile," growth remains subdued, and fiscal space stays tight under high interest bills. Chapter 2 examines the reemergence of industrial policies that countries are experimenting with to instill more dynamism in their economies and create better jobs.

Chapter 1. The State of the LAC Region

Growth Remains Subdued, while Country Paths Diverge

LAC's growth outlook for 2026 remains constrained despite slightly easier global financing conditions and still supportive commodity prices. The lack of improvement over 2025 conceals weaker prospects for many economies and implies essentially flat income gains per person. Consumption continues to lead, but its impulse is modest as real incomes recover gradually and real borrowing costs stay elevated. The binding constraint is investment, which remains subdued as firms wait for clearer signals on the external environment and domestic policy frameworks. Argentina has emerged as the main upside exception, as stabilization and reforms have improved expectations and financial conditions.

Beyond Argentina, pockets of dynamism persist among smaller LAC economies. Paraguay continues to outperform the regional average, supported by strong agricultural exports, expanding electricity generation, and a stable macro framework.

In Central America, countries such as Costa Rica, El Salvador, Guatemala, and Honduras maintain comparatively robust growth, underpinned by flows of remittances, exports of services, and deeper integration into regional value chains. In El Salvador, improvements in the security environment have coincided with stronger activity in tourism, retail, and investment in tradable sectors, as well as robust remittance inflows that have boosted domestic liquidity, easing some long-standing constraints on economic activity.

By contrast, Brazil and Mexico face slower momentum amid tight domestic financial conditions, limited fiscal space, and trade policy uncertainty. Chile and Peru show more moderate growth, supported by investment in mining and infrastructure, alongside gradually improving domestic conditions. In the Caribbean, the oil-driven expansion of Guyana—and soon Suriname, and to a lesser degree Trinidad and Tobago—is widening divergence relative to economies that depend heavily on tourism. Jamaica is recovering from a devastating hurricane, while Haiti's prospects depend critically on the success of new security initiatives.

External Headwinds Were Moderating, Amid Rising Uncertainty

Global conditions were becoming somewhat more supportive than in mid-2025, but global uncertainty is again increasing. The U.S. Federal Reserve initiated easing in late 2025 and then paused at 3.50 percent–3.75 percent in January 2026, while other major central banks have moved cautiously, leaving global rates higher for longer than previously anticipated. In addition, heightened energy-price volatility linked to the conflict in the Middle East could delay disinflation and weigh on growth.

Growth in advanced economies is subdued, China's expansion is moderating, and the baseline is for broad moderation in non-energy commodity prices through 2026, with oil & gas unpredictable at this point. News-based measures of trade policy uncertainty have declined from their April 2025 spike but remain above the levels that prevailed before 2024. LAC export volumes have shown resilience,

reflecting both lower effective tariffs after exceptions, and higher tariffs on Asian competitors. However, firms continue to approach cross-border investment and supply chain commitments cautiously in the face of policy uncertainty and weaker external demand in some markets.

Inflation Moderated, but Central Banks Remain Cautious

After a forceful disinflation episode that began in 2022, the pace of inflation reduction has slowed as core inflation—especially in services—has proved persistent. Most LAC economies are expected to bring inflation back within, or close to, targets by 2026–27, but the “last mile” has become harder as wage-price dynamics and indexation keep services inflation sticky. External conditions are mixed: a softer U.S. dollar has eased exchange rate pass-through somewhat, but global monetary policy easing has progressed gradually and risk appetite has remained selective, leaving real financing conditions still tight. Against this backdrop, most central banks are easing only cautiously, while Colombia's central bank had to make an upward adjustment. More recently, conflict in the Middle East has heightened energy-price volatility, with prices moving up. While the inflationary impact has so far been contained, pressures on energy and transport costs add risks to the disinflation path—particularly for services prices and fuel-importing economies.

High Rates, Tight Space: Can Fiscal Policy Rise to the Challenge?

Fiscal deficits remain stubborn across much of the region, even where primary balances have improved, because high interest payments continue to weigh on overall outcomes and compress space for priority spending. Public debt ratios have stabilized after the run-up following the COVID-19 pandemic but remain high by historical standards, and a return to the lower levels prevailing before 2020 is unlikely without stronger potential growth and additional fiscal consolidation. The composition of spending is a central constraint: rigid current expenditures tend to crowd out public investment during downturns and periods of tighter financing, undermining long-term growth. On the revenue

side, the case for a tax mix that is more compatible with growth remains strong. With borrowing costs still elevated and widely dispersed across countries, credible fiscal frameworks—including well-designed fiscal rules with clear debt anchors, escape clauses, and independent oversight—can help improve debt market pricing and protect investment.

Labor Markets, Informality, Poverty, and Inequality

Labor market dynamics play a central role in shaping social outcomes in LAC. Persistent informality—closely associated with low education, self-employment, and microenterprise activity—continues to limit workers' access to sustained productivity gains and formal wage growth, reinforcing the sensitivity of poverty reduction to economic slowdowns. Importantly, high levels of informality reflect not only regulatory and institutional constraints but also the weak returns to formal salaried employment many low-skilled workers face.

At the same time, widespread informality and income volatility complicate the measurement of inequality: income-based indicators tend to overstate long-term disparities in welfare relative to consumption-based measures. Together, these features highlight how labor market structure, limited opportunities for productive formal employment, and measurement challenges interact to constrain social mobility and slow progress on poverty and inequality—underscoring the importance of productivity-enhancing growth, better jobs, and stronger institutions for achieving durable social gains.

Trade Agreements, Market Access, and Diversification: Lessons for LAC

International trade remains a key channel through which LAC economies can expand market access, reduce concentration risks, and support diversification. Evidence in chapter 1 shows that countries' trade outcomes differ not only in how

open they are but in how they integrate: the breadth of markets they can access, the purchasing power of their partners, and the degree to which their export structures align with global value chains. These differences are closely linked to the architecture of trade agreement frameworks, which shape both the depth of integration within blocs and the flexibility countries retain to reach outward.

More centralized frameworks—such as customs unions—can foster deep internal integration, production linkages, and policy coordination, while involving trade-offs in members' flexibility to pursue preferential agreements beyond the bloc. By contrast, more flexible arrangements allow countries to build broader and more diversified networks of partners, facilitating access to large, high-income markets—and, in some cases, stronger participation in global value chains. In an environment of elevated trade policy uncertainty, the credibility of these frameworks matters for investment decisions: pathways that expand or clarify market access—such as the EU–MERCOSUR Partnership Agreement—or reduce uncertainty around key relationships play an increasingly important role in shaping firms' expectations.

For LAC, the payoff from trade agreements depends less on their sheer number than on how effectively they expand access to large, complementary markets and are translated into actual use by firms. Market access alone is not sufficient: gains hinge on reducing barriers behind the border and strengthening domestic enabling conditions—such as infrastructure, regulatory certainty, and skills—that allow firms to scale, diversify, and upgrade. Importantly, the appropriate trade policy strategy is shaped by institutional constraints: different agreement architectures imply different degrees of autonomy and coordination, and thus different pathways to deeper integration. In this sense, trade policy remains a critical lever for improving resilience and long-term growth prospects, even as near-term global conditions remain challenging.

Chapter 2. Revisiting Industrial Policy: Strategic Options for Today

Stagnation in economic growth and persistent difficulties in creating high-quality jobs have moved industrial policy—the range of policies expected to increase a strategic business activity—back to the center of the policy debate in much of the developing world. In LAC, growth policy has tended toward being noninterventionist for the last 50 years—and with good reason. The protectionist policies of the import substitution industrialization (ISI) era led to nondynamic industries and macroeconomic instability. These disappointing outcomes, together with a growing appreciation of more market-friendly economic theory throughout the region, and the generally superior performance of more market-friendly policies, led to a discrediting of industrial policy, and a general feeling that government failure would be worse than the market failures that industrial policy was meant to redress.

Renewed Global Interest in Industrial Policies

However, industrial policy is being reconsidered worldwide. Frustration with low growth rates in LAC and many other developing countries has led to a questioning of the minimalist role of the state in growth policy. Further, there is concern about how to prepare to best leverage the new opportunities raised by the energy transition and shifts in the global economic order.

An emerging academic literature has provided some solidly grounded evidence of the success of government interventions targeted at specific sectors in the Asian miracle economies, while successive administrations in the free market bellwether economy, the United States, have engaged in large-scale infant industry interventions in green energy and chip making and more recently in protective tariff policy. Over the last 15 years, Argentina and Brazil have engaged in substantial efforts to promote certain industries, while Colombia and Mexico have been augmenting the number of trade-related protective measures.

To offer a fresh look at the tools governments might deploy to increase growth and create jobs, the World Bank recently published *Industrial Policy for Development: Approaches in the 21st Century*. Acknowledging that each intervention carries risk as well as rewards, and that success is highly dependent on the capacity of the state, its fiscal space, and market size, the volume offers guidance to countries on what interventions might be worth embarking on, whether temporarily targeting specific sectors or supporting more horizontal policies, such as education, infrastructure, and marketing networks.

Some proponents of industrial policy have argued that it is limiting to demand that market failures be identified to justify state intervention—essentially asking why, if a particular outcome is so valuable, the market is not generating it. However, the volume follows the general consensus that identifying instances in which market allocation is inefficient—in terms of coordination failures, missing public goods, excessive market power, incomplete markets and knowledge and network externalities pertaining to particular goods, among other shortcomings—provides discipline to the discussion and helps prevent interventions that are likely to be costly failures. The report also acknowledges the risks arising from uncertainty around these failures and government’s capacity to remedy them and hence argues that countries need to weigh the degree of risk they are willing to assume in pursuing particular industrial policy tools.

Industrial Policy as Learning Policy

However, LAC’s history urges particular care in reapproaching industrial policies. As a recent World Bank report, *Reclaiming the Lost Century of Growth: Building Learning Economies in Latin America and the Caribbean*, argues, whatever growth-promoting qualities a good or economic structure may possess on average, its development impact in a particular context depends on a set of complementary agendas. It is precisely in these areas that LAC still lags.

This year’s co-winner of the Nobel Prize in economics, Peter Howitt, has shown that similar economies can have very different high-growth or low-growth equilibria, depending on their capabilities to adopt and exploit new technologies.

LAC's history is filled with examples of low-growth equilibria. The region lost control of the historically central mining industry across the continent because of the inability to adopt the new technologies of the Second Industrial Revolution to foreigners who could. Meanwhile, Japan and the United States leveraged mining to generate diverse and dynamic industrial sectors. Further, there was clearly nothing automatic about learning by doing. In neither mining nor in the emerging industrial sectors across the twentieth century did the region develop the capabilities or institutions to assimilate emerging technologies. This remains the case today and across many sectors. Asia's manufacturing sectors continue to gain productivity and expand employment while the reverse is true in LAC. Fundamentally, *how* goods are produced matters as much as *what* is produced.

Further, LAC's overall performance has been disappointing across both interventionist and noninterventionist models. Chapter 2 decomposes growth across three eras—the ISI period, the liberal market period, and the new period of experimentation in industrial policy—and shows that in all cases, compared with the Asian economies, growth has been lower and productivity growth often minimal or negative.

Hence, while retaining an openness to the lessons emerging from Asia and academia about targeting particular sectors, chapter 2 argues that a necessary complement to any growth strategy is developing the capacity to place bets (informed but uncertain investments) across a range of new products, processes, technologies, and markets that will enhance productivity growth across the sectors the region is engaged in, identify new areas of comparative advantage, and learn from that experimentation to manage progressively more complex investments. This in turn suggests four ingredients for a successful growth strategy: (1) developing the capabilities across the spectrum of human capital and knowledge-related institutions to assimilate new technologies and identify new opportunities; (2) facilitating experimentation by firms and diffusion of risk in well-developed financial markets; (3) maximizing the benefits of integration with the global economy; and, as a prerequisite to the first three, (4) strengthening the state.

Building Capabilities

As chapter 2 shows, LAC historically has lacked critical capabilities for identifying and taking advantage of new technologies. Public primary and secondary education are below global standards. This results in a poorly trained workforce, and a much-reduced pipeline of potential entrepreneurs and technical people. Universities still graduate relatively few students in science, technology, engineering, and mathematics (STEM). LAC universities rank low globally, with few in the top 1000, and they have limited interactions with the private sector.

Further, LAC firms are not at the global frontier, and the role of the state in helping them get there is not straightforward. Whether they invest in the skills or what is termed entrepreneurial capital or technological capabilities is dependent on their incentives to do so, the cost of accumulating these capabilities, and their distance from the frontier. No protection at all may imply insufficient room to learn by doing and reach the frontier, but too much protection too long can obviate the need to learn at all. Lowering the cost of accumulating human capital—by ensuring quality basic education, providing managerial extension services, creating high-quality collaborative universities and research think tanks that support the private sector—reduces the need for sectoral incentives—and may determine whether reaching the frontier is feasible at all. Through this lens, the Asian industrial policy model offered modest short-term protection with incentives to export combined with massive state efforts to facilitate learning. By contrast, LAC's ISI period combined high and sustained protection with weak efforts on the human capital front.

Facilitating Risk Taking

Development is fundamentally a process of placing informed bets—whether adopting a new process or product will increase profits, whether investing in research and development (R&D) will make a firm or country more competitive, whether expanding into a new market will buy resilience. Engaging in any of these activities increases risks that firms face. Firms in LAC place fewer bets and hence reap fewer upside payoffs that would translate into increased aggregate growth. This partly depends on management quality;

innovation requires a multiyear horizon and the ability to manage risk. Studies of managers in Colombia, for instance, have found that, as in the United States and China, improved management practices contribute to increasingly sophisticated exports and access to advanced markets. Furthermore, in a virtuous cycle, such practices foster greater innovation within Colombia. But entrepreneurs also need access to markets to diffuse risk. Shallow markets, which still characterize the region, are correlated with lower risk taking.

Maximizing the Benefits of Openness

Integration in the global economy is critical. First, trade permits firms and countries to take advantage of scale economies. Second, trade, foreign direct investment (FDI), study abroad, and university exchanges offer means to reach the knowledge frontier most rapidly. If in the 1950s it was imagined that LAC could invent the necessary technologies on its own, today that notion is fanciful.

Finally, openness facilitates a necessary contestability and discipline that can weed out low-performers and encourage new entrants and more productive firms to thrive. Once again, in this area, the link to productivity growth is intermediated by firm capabilities. That an absence of competition stifles innovation is generally accepted, although Philippe Aghion, co-winner of the 2025 Nobel Prize in economics, argues that the impact of increasing competition on innovation is not necessarily increasing: it depends critically on how close firms are to the technological and managerial frontier.

While strengthening competition agencies and intensifying domestic competition raises productivity, innovation, and employment, as the World Bank report *Competition and Productivity Growth In Latin America and the Caribbean* shows, competing globally can be less growth promoting. While in the United Kingdom and France, 50 percent of firms innovate when confronted with more global competition, in Chile the share is much lower—only 7 percent. These different experiences demonstrate that building capabilities does not happen automatically and is a necessary complement to more competition. Recent studies show that improving firm capabilities increases

exports, expands the number and sophistication of markets, and increases the quality of exported goods.

ISI failed arguably because extreme protectionism led to limited contestability, little contact with the technological frontier, and little incentive to “learn how to learn” to reach it. The reform period redressed these failures but arguably did not embrace the complementary capabilities agenda. As chapter 2 documents, LAC continues to lag across all dimensions of human capital and knowledge-related institutions.

Strengthening the State in LAC to Support Industrial Policy

All three areas involve resolving market failures. Basic education generates externalities in many directions. Worker training may wind up benefiting other firms if trained workers leave. One firm’s investment in R&D can be appropriated by others. Gaps in information or understanding about how well firms actually perform lead firms to underinvest in managerial and technological upgrading. Dominant firms prevent more dynamic firms from entering. Financial markets are too thin for entrepreneurs to diversify the risk of experimentation. Entering new international markets benefits more than just the firm that acts as the first mover. Poor regulation, including bankruptcy and conflict resolution, prevents capital markets from deepening.

Redressing these market failures requires state interventions. Effective state interventions, in turn, require a capable state. This includes issues of state autonomy—insulation from rent-seeking lobbying, sufficient bandwidth, and the ability to process information to identify the most productive areas of investment, as well as the capabilities for evaluation and execution. It also includes the capability to terminate experiments going badly. Subnational governments might be able to better recognize and solve these failures, but the variability of their capabilities can undermine decentralization efforts.

Improving the capabilities of the region’s governments is precisely the logic behind the World Bank’s Government Analytics program, which seeks to disseminate what has been learned about measuring government performance, and

how to improve it. *Data for Better Governance: Building Government Analytics Ecosystems in Latin America and the Caribbean*, in particular, shows how countries can use existing sources of data to diagnose and improve LAC governance, while the *World Bank's CLIAR Dashboard* can be used to identify agency-level strengths and weaknesses. In addition, the report *Public Workforce Performance and Prosperity* provides guidelines on how to attract and remunerate more effective public officials.

Generating Faster Growth and Better Jobs in LAC: Learning to Place Better Bets

Development is a process of placing informed bets. The private sector needs to weigh the risks

and returns of initiatives to invest and innovate; governments make the same calculations when attempting to resolve market failures that are imperfectly understood and measured. The contribution of World Bank's new report on industrial policy is precisely to lay out the new evidence, particularly from East Asia, on the tradeoffs they face when choosing to embark on their policies. LAC's experience suggests that whatever decisions developing countries make to shift the composition of *what* is produced, the complementary, more cross-cutting horizontal agenda is critical to ensure that *how* it is produced helps developing countries learn to better identify and exploit the new technologies of the twenty-first century—technologies that are essential to generating the high-quality jobs LAC and other developing regions need.

Growth Outlook for the Region

Real GDP Growth Rates

	2022	2023	2024	2025e	2026f	2027f
Argentina	6.0	-1.9	-1.3	4.4	3.6	3.7
Bahamas	10.9	3.0	3.4	2.8	2.2	1.9
Barbados	15.9	1.8	3.4	2.7	2.7	3.0
Belize	9.3	0.5	3.5	1.5	2.4	2.2
Bolivia	3.7	2.5	-1.1	-2.1	-3.2	4.0
Brazil	3.0	3.2	3.4	2.3	1.6	1.8
Chile	2.1	0.7	2.8	2.5	2.4	2.3
Colombia	7.3	0.8	1.5	2.6	2.2	2.4
Costa Rica	5.5	4.8	4.1	4.6	3.6	3.7
Dominica	10.4	3.7	2.1	3.1	2.8	2.9
Dominican Republic	5.2	2.2	5.0	2.1	3.6	4.4
Ecuador	5.9	2.0	-2.0	3.7	2.5	2.5
El Salvador	2.9	3.5	2.6	3.9	3.2	3.0
Grenada	7.3	4.5	3.3	4.5	3.1	3.0
Guatemala	4.2	3.5	3.7	4.2	3.7	3.8
Guyana	63.3	33.8	43.8	15.4	16.3	23.5
Haiti	-1.7	-1.9	-4.2	-2.7	0.6	1.9
Honduras	4.1	3.6	3.6	3.8	3.4	3.7
Jamaica	6.4	2.7	-0.5	-0.4	-1.0	3.2
Mexico	3.7	3.1	1.4	0.6	1.3	1.7
Nicaragua	3.6	4.4	3.6	4.9	3.4	3.4
Panama	10.8	7.4	2.9	4.4	3.9	4.1
Paraguay	0.0	5.3	4.7	6.6	4.4	4.2
Peru	2.8	-0.4	3.5	3.4	2.7	2.8
St. Lucia	20.6	3.3	4.7	1.3	1.9	1.8
St. Vincent & the Grenadines	3.1	5.3	4.1	3.6	3.0	3.1
Suriname	2.4	2.4	1.7	1.8	4.0	4.5
Trinidad and Tobago	0.9	1.5	2.5	0.8	0.7	3.2
Uruguay	4.6	0.8	3.3	1.8	1.6	1.9

Source: World Bank staff calculations.

Note: The cut-off date for the data is April 6, 2026. "e" stands for estimate; "f" for forecast.